PARTNERSHIPS

There are a number of reasons why a sole proprietor might wish to convert to a partnership: the business might become too big to manage on his own, he might wish to expand his business (additional capital provided by the partner can be used for this purpose), the business could economise on certain costs by sharing them with the partner, and the partner might have valuable skills that could be utilised by the business.

A partnership is a legal relationship that takes place because of a partnership agreement by at least two and not more than 20 people. Each person contributes capital, labour and skills to a legal business, with the purpose of making a profit and sharing the profit in a specific proportion or ratio.

Forming Partnerships	
Advantages	**Disadvantages**
Is relatively easy to form.	Arguments or lack of trust between the partners will affect the smooth running of the business.
Existing sole proprietorships or partnerships can be expanded by admitting new partners.	If one partner cannot pay, the other partners must bear the liability.
Partners may possess specific assets or skills that can be used to the mutual benefit of all the partners through the pooling of resources.	The liability of the partners is not limited. Each partner is jointly and severally liable for the debts of the partnership.
Personal contact with the customers and clients can still be maintained.	The withdrawal, death or retirement of a partner affects the continued operation of the business.

Limited vs Unlimited Liability:

In the case of a sole trader, the owner will have provided capital in order to start the business. If the business then makes losses and becomes insolvent, then the owner will need to use his personal funds in order to settle the debts of the business. This means that he may have to sell some of his personal possessions to pay the creditors of the business. This is known as the concept of unlimited liability. In other words, the liability of the owner is not limited to the amount of capital he has already provided.

This is a similar situation in the case of a partnership. Each of the partners will have provided capital in terms of the partnership agreement, but the business might still make losses or experience cash shortfalls in future. As with sole traders, the liability of the partners to settle the additional debts of the partnership is not limited to the amounts of money they have already provided. In other words, the concept of unlimited liability applies.

The differences between a sole trader and a partnership:

Details	Sole Trader	Partnership
Number of owners	1	2 – 20
Provision for capital	Proprietor	Partners
Liability to cover business debts	Owner personally	Partners personally and severally – in ratio
Can the business sue or be sued?	No Owner responsible	No Partners are jointly and severally liable
Longevity (continuity)	No The business dies with the death or retirement	No The business dies with the death or retirement of any partner
Access to capital	Limited	Limited
What governs its actions	Common law, GAAP and tax law	Common law, GAAP and tax law and partnership agreement
Name requirements	Not the same as another and should not be undesirable	Not the same as another and should not be undesirable

Additional transactions applicable to a partnership:

Transactions	SJ	General Ledger		Accounting Equation		
		Account Debited	Account Credited	A	O	L
Capital contributed by each partner	CRJ	Bank	Capital: A	+	+	0
Assets contributed as part of partner's capital contribution	GJ	Vehicles	Capital: B	+	+	0
Monthly salaries paid to the partners during the year	CPJ	Drawings: A	Bank	-	-	0
Drawings of merchandise or cash for the personal use of a partner	CPJ	Drawings: B	Trading Stock / Bank	-	-	0
Assets taken over by partner or disposal thereof	GJ	Drawings: A	Asset disposal	-	+ -	0

Adjustments at the end of the accounting period:

Transactions	SJ	General Ledger		Accounting Equation		
		Account Debited	Account Credited	A	O	L
Interest on capital payable to each partner	GJ	Interest on capital	Current account: A	0	+ / -	0
	GJ	Interest on capital	Current account: B	0	+ / -	0
Salary for each partner (calculate the total annual salary)	GJ	Salary: A	Current account: A	0	+ / -	0
	GJ	Salary: B	Current account: B	0	+ / -	0

Only one account for **Interest on Capital** is opened and is used for both partners.

Closing transfers at the end of the accounting period:

Transaction	SJ	General Ledger	
		Account Debited	Account Credited
The net profit is transferred from the Profit and loss account to the Appropriation account	GJ	Profit and Loss account	Appropriation account
The Interest on Capital account and both Salary accounts are closed off to the Appropriation account	GJ	Appropriation account	Interest on capital Salary: A Salary: B
The Drawings accounts of the partners are closed off to the Current accounts of the partners	GJ	Current account: A Current account: B	Drawings: A Drawings: B
The remaining profit will be shared by the partners equally or in the ratio of capital contributed	GJ	Appropriation account	Current account: A Current account: B

If there was a loss there would be an opposite affect to the Ledger accounts.